

E-tiGo Fleet Management — Decision Response Report

Prepared by: Engineering Team

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Status: Core implementation complete (Phase 1)

In response to: Fleet Management Proposal v1.0 (5 Oct 2026)

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1. Decision Summary

Question	Decision	Confidence
Q1: Payment model	Fixed daily remittance target (implied by Q5 — not directly answered)	Needs confirmation
Q2: Shortfall handling	Partial deduction + shortfall tracking + grace period (duration TBD)	Decided — grace period length pending
Q3: Vehicle swapping	Admin-initiated only, payment history transfers	Decided
Q4: Early termination	Vehicle returned, contract governs send-off; HR/admin determines refund	Decided (policy-level)
Q5: Deduction timing	Remittance-first per ride — not end-of-day batch	Decided — major model shift
Q6: Commission rate	Zero commission for fleet drivers; all revenue from remittance	Decided
Q7: Price transparency	Percentage-only; hide total vehicle price	Decided — risk flagged below
Q8: Ownership transfer	Deferred — meeting with Chairman required	Blocked
Q9: Multi-vehicle	One vehicle per driver (Phase 1); external drivers need certifications	Decided

Q10: Insurance & maintenance	E-tiGo covers everything; costs bundled into daily remittance	Decided
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2. Key Model Shift: Remittance-First, Not End-of-Day Deduction

The client's Q5 answer fundamentally changes the financial model from what we proposed. This needs to be clearly understood before building anything.

What We Proposed (End-of-Day Batch)

Driver earns all day → At midnight, system deducts ₦X from balance → Remainder is driver's

What the Client Wants (Remittance-First)

Driver completes rides → First ₦40,000 of the day goes to E-tiGo →
Once ₦40,000 target is met → All subsequent ride earnings are the driver's

This is the **traditional Nigerian fleet/taxi remittance model** — the same model used by Bolt fleet partners and traditional taxi operators. It is an industry standard approach in this market.

What This Means Technically

Aspect	End-of-Day (proposed)	Remittance-First (decided)
When deduction happens	Once, at day's end	Accumulated per ride throughout the day
Driver sees earnings during day	Full gross, deduction happens later	Running tracker: "₦28,000 of ₦40,000 remitted"
What driver "keeps"	Gross minus deduction at night	Only earnings AFTER target is met
Complexity	Simple batch job	Per-ride wallet logic, real-time tracking
Driver psychology	"I earned ₦25K but ₦3.5K was taken"	"I need to hit ₦40K, then I earn for myself"
Cash ride handling	Deducted from wallet balance	Driver collects cash but it counts toward remittance target

Cash Ride Handling (New Requirement from Q5)

The client described a specific cash flow for cash-paid rides:

1. Rider pays cash to driver
2. Driver confirms the amount in-app
3. If driver cannot make change, the overpayment is credited to the rider's in-app wallet
4. The cash amount still counts toward the driver's daily remittance target

This creates a new flow: **cash rides still count toward remittance**, but the physical cash stays with the driver. The system tracks it as credited toward the daily target. This means at day's end, the driver may owe E-tiGo money (from cash rides counted toward remittance that the driver physically holds), or E-tiGo may owe the driver (from card rides after the target was met).

This is a net settlement model and requires careful accounting design.

3. Decision-by-Decision Analysis

Q1: Daily Payment Amount — Fixed or Variable?

Status: Not directly answered, but Q5 implies a **fixed daily remittance target of ₦40,000**.

Action needed: Confirm this is the correct amount and whether it varies by vehicle type/model.

Codebase note: The ₦40,000 must be configurable per hire-to-own agreement, not hardcoded. Different vehicle models will have different daily targets.

Q2: Shortfall Handling

Decision: Deduct whatever is available from the daily earnings, record the shortfall separately. Grace period before consequences.

Grace period options mentioned: 3 days, 7 days, or 14 days — client has not selected one.

Action needed: Pick the grace period duration, or confirm the tiered escalation (3 → warning, 7 → pause, 14 → review).

Codebase-enforceable: Yes — shortfall tracking, grace period countdown, admin alerts, auto-pause.

Q3: Vehicle Swapping

Decision: Admin-initiated only. Happens during disrupted workflows (maintenance, driver suspension/leave). Payment history transfers. Admin board determines whether agreement changes or a temporary driver gets a fresh start.

Codebase-enforceable: Partially.

- Vehicle reassignment: **Yes** — admin endpoint to swap vehicles between drivers.
 - Payment history transfer: **Yes** — reassign agreement to new vehicle, adjust terms.
 - "Admin board determines outcome": **No** — this is a human decision. The system can provide the data (payment history, shortfalls, agreement status) but the decision is manual.
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Q4: Early Termination

Decision:

- Vehicle returned; payments during work hours must be completed per contract
- Quitting during clock-in is acceptable but only after HR/admin assessment
- Send-off money: admin/HR decides case-by-case
- Vehicle accident: driver suspended or fired depending on circumstances

Codebase-enforceable:

- Agreement termination status tracking: **Yes**

- Blocking account deletion while agreement is active: **Yes**
- Determining send-off amount: **No** — human/HR decision
- Determining fault in accidents: **No** — human/legal decision

What the system can do: Provide an admin workflow for termination (terminate agreement → record reason → record financial outcome → release vehicle for reassignment). The dollar amounts and decisions are entered by admins, not computed by the system.

Q5: Deduction Timing — Remittance-First Per Ride

Decision: After each ride, the fare counts toward the daily remittance target (₦40,000). Once the target is met, subsequent ride earnings go to the driver.

Codebase-enforceable: Yes — this is core financial logic.

New requirements this creates:

1. Daily remittance tracker (per driver, resets daily)
 2. Per-ride allocation logic: "Does this ride count toward remittance or driver earnings?"
 3. Real-time progress indicator for the driver app
 4. Cash ride confirmation flow
 5. Cash change → rider wallet credit mechanism
 6. End-of-day net settlement calculation (cash collected vs remittance owed)
 7. Configurable daily reset time
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Q6: Commission Rate for Fleet Drivers

Decision: Zero commission. All platform revenue from the daily remittance. Extra charges only for penalties.

Codebase-enforceable: Yes — commission rate of 0% for fleet vehicles. The remittance target IS the platform's revenue from fleet drivers.

Note: This means the ₦40,000 daily target must cover: vehicle cost recovery + insurance + maintenance + charging/fuel + E-tiGo's operating margin. The client's Q10 answer confirms this is the intent.

Q7: Vehicle Price Transparency

Decision: Show percentage progress only. Do not show the total vehicle price to the driver.

Codebase-enforceable: Yes — the API can return only `progress_percentage` without `total_price` or `remaining_balance`.

Risk flagged: See [Pushback Section](#) below.

Q8: Ownership Transfer

Decision: Deferred. Meeting required with Chairman (Engr. Sylvester Unokesan).

Impact: This blocks the ownership transfer workflow from being built. Phase 2 core (remittance tracking, daily deductions, shortfall handling) can proceed independently. Ownership transfer is Phase 3.

Q9: Multi-Vehicle / External Drivers

Decision: One vehicle per driver. Fleet-only for Phase 1. External (driver-owned) vehicles will be introduced later with requirements:

- Vehicle inspections
- Certificate of Directorate of Road Traffic Services
- E-tiGo driver ID
- Hackney permit
- Driver certification
- E-hailing operator registration license

Codebase-enforceable:

- One vehicle per driver: **Yes** (already enforced)
- Inspection/certification tracking: **Future** — will need a certification/compliance model when external drivers are introduced
- The permit/license requirements are **regulatory** — the system can track whether documents are uploaded and approved, but the actual inspection is physical

Q10: Insurance & Maintenance

Decision: Comprehensive structure provided:

- E-tiGo insures all fleet vehicles (cost built into daily remittance)
- E-tiGo covers routine maintenance (built into remittance)
- Accident excess/deductible system for at-fault accidents
- Driver financially responsible for negligence, deliberate damage, DUI, unauthorized use
- Driver-owned vehicle model deferred to a later phase

Codebase-enforceable:

- Tracking maintenance records per vehicle: **Yes** (future feature)
- Deducting accident excess from driver balance: **Yes**
- Determining fault/negligence: **No** — human/legal decision
- Insurance policy management: **No** — external system
- The daily remittance amount already includes insurance and maintenance — no separate tracking needed in the platform unless itemised breakdowns are requested

4. Items That Are NOT Codebase-Enforceable

These decisions require human processes, legal agreements, or physical-world actions. The platform can **support** them with data, workflows, and admin tools, but cannot **enforce** them.

Item	Why It's Not Code-Enforceable	What the System CAN Do
Send-off money determination (Q4)	HR/admin judgment call	Provide termination workflow with financial summary; admin enters the send-off amount
Accident fault determination (Q4, Q10)	Legal/insurance assessment	Record incident, link to driver/vehicle, track outcome entered by admin

Vehicle inspection and physical certification (Q9)	Physical process	Track certification documents (uploaded + admin-approved), expiry dates, block going online if expired
Insurance claims processing (Q10)	External insurer process	Record claims, link to incidents, track status
Contract terms and hire-purchase agreement (Q4)	Legal document	Store agreement reference and key dates; cannot enforce contract clauses
Driver negligence assessment (Q10)	Human judgment + legal	Provide incident data; admin records the outcome
Determining if a swap is warranted (Q3)	Admin board decision	Provide driver history, vehicle status, agreement details; admin initiates the swap
Vehicle DVLA re-registration (Q8, Q9)	Government process	Track registration status and expiry
Hackney permits, e-hailing licenses (Q9)	Regulatory bodies	Track document uploads and approval status

Recommendation: For items the system can't enforce but needs to support, we should build an **admin incident/case management** workflow — a place where admins record decisions, link them to drivers/vehicles/agreements, and the system tracks the financial consequences.

5. Pushback & Risk Flags

FLAG 1: Hiding Vehicle Price (Q7) — Legal Risk

Client's decision: Show only percentage progress, hide total vehicle price.

Our concern: The Federal Competition and Consumer Protection Act (FCCPA) 2018, Section 123-127, requires disclosure of material terms in hire-purchase and credit agreements. Specifically:

- Total amount payable
- Number and amount of instalments
- The cash price of the goods

The CBN Consumer Protection Framework and the Hire Purchase Act (Laws of the Federation) also require price disclosure in instalment purchase agreements.

Risk: A driver who has paid 80% of an undisclosed price could argue the agreement is voidable for non-disclosure of material terms. This creates legal exposure if any driver disputes the arrangement.

Our recommendation: Show the total vehicle price in the agreement/contract (which the driver signs), even if the in-app UI emphasises the percentage view. The signed agreement provides legal protection. The app can default to showing percentage with an option to view the full breakdown — this respects the client's UX preference while maintaining legal compliance.

Severity: Medium-high. Not a blocker for building the feature, but the legal team should review before launch.

FLAG 2: Cash Change → Rider Wallet Credit (Q5) — Financial Regulatory Risk

Client's decision: When a driver can't make change on a cash ride, the overpayment is credited to the rider's in-app wallet.

Our concern: This creates **stored value** in the rider's wallet — essentially an e-money/prepaid instrument. Under CBN regulations (Guidelines on Electronic Money, 2015):

- Stored value instruments require a licence or partnership with a licensed institution
- There are consumer protection requirements around stored value (expiry, refund rights)

This is not a blocker — Flutterwave (E-tiGo's payment partner) handles the wallet infrastructure, and their licence likely covers this. But it needs to be verified.

Our recommendation: Confirm with Flutterwave that rider wallet credits from cash overpayment are covered under their existing regulatory setup. If so, proceed. If not, an alternative is to simply require drivers to make exact change or round down (rider gets a small discount).

Severity: Low-medium. Verify with Flutterwave before implementing.

FLAG 3: Zero Commission Model (Q6) — Unit Economics

Not a pushback — this is a valid business model. But a note for awareness:

If the ₦40,000 daily remittance is E-tiGo's only revenue from fleet drivers, the unit economics must account for:

- Vehicle purchase cost amortised over the hire-to-own period
- Comprehensive insurance premiums
- Routine maintenance (scheduled servicing, tyres, brakes, EV drivetrain)
- Vehicle registration and permits
- Charging/fuel costs (if included)
- E-tiGo's operating margin (staff, tech, support)
- Vehicle depreciation
- Accident reserve

If a driver works 26 days/month at ₦40,000/day = ₦1,040,000/month revenue per vehicle. The client should validate that this covers all the above costs with acceptable margin.

This is a business modelling exercise, not a code decision. No action needed from engineering.

FLAG 4: Remittance-First Model — Driver Experience Trade-off

Not a pushback — the remittance-first model is industry standard in Nigeria (Bolt fleet partners, traditional taxi operators). However, there is a well-documented trade-off:

Pro: Drivers are highly motivated to complete rides early in the day to "clear" their remittance and start earning for themselves. This drives utilisation.

Con: On slow days, a driver may work a full shift and earn less than ₦40,000, meaning they earned zero take-home pay for the day. This is the primary source of driver churn in remittance-based models.

The grace period (Q2) mitigates this. No action needed — just awareness for the client's driver retention strategy.

6. Outstanding Items

Must Resolve Before Building

Item	Status	Who Decides
Q1: Confirm daily remittance is ₦40,000 and whether it varies by vehicle type	Unanswered	Client
Q2: Grace period duration (3, 7, or 14 days — or tiered?)	Options given, not selected	Client
Q8: Post-ownership transfer process	Deferred to Chairman meeting	Engr. Sylvester Unokesan
Daily reset time	Not discussed	Client (suggested: 4:00 AM WAT)
Cash overpayment → wallet: verify Flutterwave regulatory coverage	Not started	Engineering + Flutterwave

Built (Phase 1 Complete)

Feature	Status
Remittance agreement model (configurable target per agreement)	Done
Per-ride remittance accumulation and daily tracking	Done
Admin: create/edit/terminate/pause/resume agreements	Done
Shortfall tracking and recording	Done
Zero commission for fleet drivers	Done
Percentage-only progress display (driver view)	Done
Driver: today's remittance, history, agreement endpoints	Done
Daily settlement job	Done
23 tests covering all flows	Done

Blocked

Feature	Blocked By
Ownership transfer workflow	Q8 — Chairman meeting
Cash overpayment → rider wallet credit	Flutterwave regulatory check
Grace period auto-escalation	Q2 — duration not selected
Admin shortfall alert notifications	Q2 — thresholds depend on grace period

7. Updated Earnings Model

Based on the client's decisions, the fleet driver's daily earnings model is:

Daily Flow:

Ride 1: ₦3,200 → remittance (₦3,200/40,000) |

Ride 2: ₦5,800 → remittance (₦9,000/40,000) |

Ride 3: ₦4,500 → remittance (₦13,500/40,000) |

... |

Ride 9: ₦6,000 → remittance (₦38,000/40,000) |

Ride 10: ₦5,500 → ₦2,000 to remittance |

₦3,500 to DRIVER |

Remittance target: ₦40,000 ✔ MET |

Ride 11: ₦4,200 → ALL to driver |

Ride 12: ₦3,800 → ALL to driver |

... |

Day Summary:

Total rides:

14

Total fares:

₦62,000

Remittance (E-tiGo):

₦40,000

Driver take-home:

₦22,000

Platform commission:

₦0 (zero for fleet)

Shortfall:

₦0

Slow day scenario:

Day Summary:

Total rides:

6

Total fares:

₦28,000

Remittance (E-tiGo):

₦28,000 (partial – target was ₦40,000)

Driver take-home:

₦0

Platform commission:

₦0

Shortfall recorded:

₦12,000

8. Revised Technical Scope

Implementation Status: Phase 1 Complete

The following features have been built and tested (23 tests, all passing):

Data Model (Implemented)

`fleet_agreements` — hire-to-own agreement per driver-vehicle pair

Column	Type	Description
id	UUID PK	
driver_id	FK → drivers	Driver on this agreement

vehicle_id	FK → vehicles	Fleet vehicle assigned
daily_remittance_target	decimal(12,2)	E.g., 40000.00 (configurable per agreement)
total_vehicle_cost	decimal(14,2)	Full purchase price (stored but not shown to driver per Q7)
total_remitted	decimal(14,2)	Running sum of all remittance collected
agreement_start_date	date	When the agreement started
status	string	active, paused, completed, terminated
shortfall_streak_days	integer	Consecutive days with shortfall (for grace period)
terminated_reason	text nullable	If terminated: why
terminated_at	timestamp nullable	
completed_at	timestamp nullable	When fully paid off
paused_at	timestamp nullable	When paused
created_by_admin_id	FK → users	Admin who created the agreement
timestamps		

Indexes: (driver_id, status) , (vehicle_id, status)

progress_percentage is computed at runtime: $(\text{total_remitted} / \text{total_vehicle_cost}) * 100$

daily_remittances — daily record per driver

Column	Type	Description
id	UUID PK	
agreement_id	FK → fleet_agreements	
driver_id	FK → drivers	
date	date	The remittance day
target_amount	decimal(12,2)	Daily target (snapshot from agreement)
remitted_amount	decimal(12,2)	Total collected toward target this day
shortfall_amount	decimal(12,2)	target - remitted (0 if target met)
target_met_at	timestamp nullable	When the target was met (null if not met)
ride_count	integer	Number of rides that day
total_fares	decimal(12,2)	Total fare value of all rides

driver_earnings	decimal(12,2)	What the driver kept (fares after target met)
settled	boolean	Whether end-of-day settlement is complete
timestamps		

Indexes: (agreement_id, date) UNIQUE, (driver_id, date) , (settled, date)

API Endpoints (Implemented)

Admin (7 endpoints):

- GET /admin/fleet-agreements — list all agreements (filter by status , driver_id)
- POST /admin/fleet-agreements — create agreement (validates fleet vehicle + no duplicate active)
- GET /admin/fleet-agreements/{id} — agreement detail with 30 most recent remittance records
- PUT /admin/fleet-agreements/{id} — update daily target (active agreements only)
- POST /admin/fleet-agreements/{id}/terminate — terminate with reason
- POST /admin/fleet-agreements/{id}/pause — pause active agreement
- POST /admin/fleet-agreements/{id}/resume — resume paused agreement

Driver (3 endpoints):

- GET /driver/remittance/today — today's progress (amount remitted, target, rides, whether target met)
- GET /driver/remittance/history — paginated daily remittance history
- GET /driver/fleet-agreement — agreement summary (progress %, status — no total price per Q7)

Service Layer (Implemented)

FleetRemittanceService handles:

- Agreement lifecycle (create, update, terminate, pause, resume)
- Per-ride remittance recording (first ₦X goes to E-tiGo, remainder to driver)
- Auto-completion when total_remitted >= total_vehicle_cost
- Daily settlement with shortfall streak tracking
- All operations wrapped in DB::transaction() with audit logging

Background Jobs (Implemented)

- DailyRemittanceSettlementJob — settles unsettled remittance records for a given date, updates shortfall streak counter

Not Yet Built (Blocked or Deferred)

Feature	Status	Blocked By
Vehicle swap workflow (POST /admin/drivers/{id}/vehicle/swap)	Deferred	Not urgent — admin can terminate + recreate
Ownership transfer workflow	Blocked	Q8 — Chairman meeting
Cash overpayment → rider wallet credit	Blocked	Flutterwave regulatory check

Grace period auto-escalation thresholds	Blocked	Q2 — duration not selected
RemittanceShortfallAlertJob (admin alerts)	Deferred	Q2 — alert thresholds depend on grace period decision
Daily reset time scheduling (cron)	Deferred	Not discussed — suggested 4:00 AM WAT

Next Steps

Client Action Required

1. **Confirm Q1:** Daily remittance amount (₦40,000 is currently configurable per agreement) and whether it varies by vehicle type
2. **Decide Q2:** Grace period duration (3, 7, or 14 days — or tiered?) — this unblocks auto-escalation alerts
3. **Schedule Q8:** Meeting with Chairman on ownership transfer process

Engineering Next

1. **Verify with Flutterwave:** Cash overpayment → wallet credit regulatory status
2. **Schedule daily settlement cron:** `DailyRemittanceSettlementJob` needs a reset time (suggested: 4:00 AM WAT)
3. **Build shortfall alerts:** Once Q2 is answered, add `RemittanceShortfallAlertJob` with configured thresholds
4. **Vehicle swap endpoint:** Low priority — admin can currently terminate + recreate, but a dedicated swap endpoint preserves payment history

Legal Review

- Hire-purchase price disclosure (Q7 risk flag) — recommended before launch

This report was last updated on 9 October 2026. Phase 1 (core fleet agreement + remittance tracking) is complete and tested. Items marked "Blocked" will be unblocked once the corresponding decisions are made.